Promissory Estoppel

English contract law | Advanced study guide | Requirements, legal effect and application

In an existing legal relationship, one party may assure the other that it will relax enforcement of a right. Promissory estoppel can hold the party to that assurance in equity even without fresh *consideration*. Begin by identifying the original right, the concession and the period or events it covers.

1. A clear and unequivocal assurance

A reasonable recipient must be able to tell what the right-holder has agreed to relax. Words or conduct can convey the assurance. The context must show that the recipient was meant to act on it. Tentative negotiations, a single failure to enforce a right or an ambiguous statement require more evidence before they can establish a concession.

In *Woodhouse*, accepting sterling as a means of payment did not clearly establish a promise to convert Nigerian pounds into sterling at parity. The alleged concession had to be clear on the precise point in dispute.

2. An existing right affected by the assurance

Identify the obligation and the right to enforce it, such as the right to full rent under a lease or to payment by a specified date. Then explain how the assurance affects that right. Deferring the due date and forgiving the amount owed are different concessions.

3. Reliance that changes conduct

Ask what the recipient did or refrained from doing because of the assurance and what they would otherwise have done. In *W J Alan*, the buyers acted on the sellers' acceptance of a sterling letter of credit. Lord Denning MR distinguished a change of position from proof of an independent detriment. Examine both the change of conduct and the disadvantage a reversal would cause.

4. Inequity in going back on the assurance

Consider the whole course of dealings. In *D & C Builders*, the debtor's side exploited the builders' financial difficulties to obtain a reduced settlement. That pressure defeated the appeal to equity. Reliance is therefore part of the analysis, alongside the circumstances in which the assurance was given.

> State the assurance precisely. Then identify a concrete act or omission it caused and explain why enforcing the original right in these circumstances would be inequitable.

What Protection Does Estoppel Give?

1. Combe v Combe and the independent basis of a claim

Combe v Combe [1951] 2 KB 215 (case note)

Facts. During divorce proceedings, the husband promised to pay his wife £100 a year. She did not apply to the court for maintenance and later sued on the promise when he failed to pay.

Consideration. The court found no express or implied request from the husband that she refrain from applying for maintenance. Her decision to forbear was therefore not the price of his promise. Conduct that follows a promise need not constitute consideration for it.

Estoppel. The Court of Appeal rejected the claim. Promissory estoppel can limit enforcement of an existing right, but a claim for payment needs an independent legal basis. The Supreme Court reaffirmed that the doctrine cannot create a cause of action in *Tinkler* at [75].

> “Shield” describes the doctrine’s function. Look for a right or claim that exists independently of the assurance, then identify the inconsistent position that estoppel would prevent. A claimant can also invoke estoppel to answer a defence to a claim that has an independent legal basis.

2. Suspension, expiry and enforcement

Past and future periods. In *High Trees*, Denning J awarded the full rent difference for the two 1945 quarters claimed, after full occupancy had returned. His statement that the earlier wartime difference would have been barred was *obiter*. The case shows why the scope of the promise must be tied to the period for which payment is sought.

Resuming enforcement. If a continuing right has been suspended, reasonable notice may be needed before strict enforcement resumes for the future. In *Tool Metal*, the House of Lords held that an earlier counterclaim gave sufficient notice. A promise with a defined end point may expire under its own terms.

Part payment. Under *Foakes v Beer*, paying part of an existing debt is generally insufficient consideration for a promise to discharge the balance. Promissory estoppel has separate requirements. The receipt of a lesser sum alone does not establish an equitable bar.

Worked Problem

1. A temporary extension of payment terms

A supply contract requires payment within 30 days and provides for interest after that date. The supplier emails that invoices issued from April through June may be paid within 60 days without interest. The buyer uses the extra time to commit cash to another order and pays each of the three invoices on day 60. In August the supplier demands interest for days 31 to 60.

2. Model answer

Identify the right and the concession. The original right is to payment by day 30 and interest thereafter. The email clearly extends the payment window for invoices issued in the specified period and addresses interest expressly.

Connect reliance to inequity. The buyer committed funds on the strength of the extension and then met the 60-day deadline. Those facts support an estoppel against retrospective interest. The buyer has already paid the principal, and the original terms apply to invoices issued from July onwards.

Test the result by changing one fact. If the supplier had merely said it would consider more time, the buyer's spending would not make that statement an unequivocal assurance. Check the actual words, the invoice dates and records showing when the buyer committed the funds.

> In a problem answer, link each requirement to a fact. State separately what happens to the principal, interest on the covered invoices and the terms for later invoices.

Cases and further reading

Central London Property Trust Ltd v High Trees House Ltd [1947] KB 130
Woodhouse AC Israel Cocoa Ltd SA v Nigerian Produce Marketing Co Ltd [1972] AC 741
W J Alan & Co Ltd v El Nasr Export & Import Co [1972] 2 QB 189
D & C Builders Ltd v Rees [1966] 2 QB 617
Combe v Combe [1951] 2 KB 215 (case note)
Tinkler v HMRC [2021] UKSC 39, [74]-[76]
Tool Metal Manufacturing Co Ltd v Tungsten Electric Co Ltd [1955] 1 WLR 761
Foakes v Beer (1884) 9 App Cas 605